Dak Guru

A Self Learning Portal

www.dakguru.com

PO Small Savings Schemes

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

Dak Guru: Comprehensive Guide to PO Small Savings Schemes

Table of Contents

Chapter 1: Post Office Savings Account Scheme, 2019

Chapter 2: National Savings Recurring Deposit Scheme, 2019

Chapter 3: National Savings Time Deposit Scheme, 2019

Chapter 4: National Savings (Monthly Income Account) Scheme, 2019

Chapter 5: Senior Citizen Savings Scheme (SCSS), 2019

Chapter 6: National Savings Certificate (VIII Issue) Scheme, 2019

Chapter 7: Kisan Vikas Patra (KVP) Scheme, 2019

Chapter 8: Public Provident Fund (PPF) Scheme, 2019

Chapter 9: Sukanya Samridhhi Account (SSA) Scheme, 2019

Chapter 10: PM CARES for Children Scheme, 2021

Chapter 11: Mahila Samman Savings Certificate, 2023

Chapter 1: Post Office Savings Account Scheme, 2019

Authority: Notified vide G.S.R. 921 (E) dated **12.12.2019** and further amended vide G.S.R. 257(E) dated **09.04.2021**.

1. Type of Account

(1) An account may be opened by making an application in **Form-1** by the following:

- (i) A **single adult**.
- (ii) A maximum of **three adults** in joint name.
- (iii) A guardian on behalf of a **minor**.
- (iv) A guardian on behalf of a person of **unsound mind**.
- (v) A **minor** who has at tained the age of **ten years**, in his own name.

Provisions:

- Only **one account** can be opened by an individual as a **single account**.
- An account under clause (e) (Minor > 10 years) can only be opened if an account under clause (c) (Guardian for minor) does not exist in the name of the minor or vice versa.

---

2. Deposits and Withdrawals

- (i) Minimum deposit at the account opening: Rs. 500/-.
- (ii) Subsequent deposit: Not less than Rs. 10/-.
- (iii) Maximum deposit: **No limit**.
- (iv) Withdrawal from Account: Not less than Rs. 50/-.
- (v) Minimum Average Balance: Rs. 500/-.
- (vi) **Maintenance Fee:** If the account holder fails to make such deposit within the specified period, an account maintenance fee of Rs. 50/- (inclusive of Goods and Service Tax) shall be deducted from the account on the last working day of each financial year.

- (vii) All deposits and withdrawals shall be made in **whole rupees** only.

---

3. Interest on Deposits

- (i) **Rate of Interest: 4% per annum** calculated on the lowest balance at the credit of an account between the close of the **tenth day** and the **end of the month**.
- (ii) **Calculation:** Interest is calculated at the end of each **Financial Year**.
- (iii) **Crediting:** Credited in **whole rupees** after rounded off to the nearest rupee.
- (iv) **Eligibility:** No interest is allowed if the balance is less than Rs. 500/-.
- (v) **Death of Holder:** In the event of death of an account holder, the interest in his account shall be paid only till the end of the **month preceding the month** in which the account is closed.

---

4. Silent Account

- (i) An account in which a deposit or a withdrawal has not taken place for **3 completed financial years**, shall be treated as a **Silent Account** and credit of interest in a Silent Account shall not be treated as a transaction.
- (ii) Transaction in a Silent Account shall be allowed only after **revival** of the account.
- (iii) The account can be revived through an application by the account holder and after completion of the due process by the account's office.

---

5. Basic Savings Account

(For beneficiaries of Government Welfare Schemes)

Type of Account	Who may open the account	Deposit required for opening	Minimum balance to be maintained	Who may operate the account
Basic Savings Account	i. Registered adult member of any **Government Welfare Scheme**. ii. Guardian of a **minor** whose name is registered for any **Government Benefit**.	**Nil**.	**Nil**.	i. An individual adult whose name is registered for any Government Welfare Scheme. ii. Guardian of any minor whose name is registered under any Government Welfare Scheme.

Deposits Allowed: Any Government benefit or any other deposit under the scheme. **Number of Accounts:** One.

---

6. Digital & Cheque Facilities Eligibility

A. ATM Card Facility

- (i) Account holders of **Joint-A Type** account **cannot** avail ATM card facility.
- (ii) Account holder **minor through self**, or minor/person of unsound mind through guardian **cannot** be issued ATM Card facility.
- (iii) Each account holder of **Joint-B Type** account can avail ATM card facility against his/her name.
- (iv) Presence of **all account holders** is **not mandatory** at the time of submission of ATM Card Request Form.
- (v) Only the account holder who wants to avail ATM Card facility for himself/herself must be present at the time of submission.

- (vi) The account holder **cannot authorize** any other person to receive the ATM card for his/her account.
- (vii) ATM Card can be issued to **illiterate/old depositor** if such request is received.

B. Internet Banking / Mobile Banking

- (1) Customer should have Post Office Savings Account in **CBS Post Office** or **DARPAN-CBS Branch Post Office**.
    - a. Either **Single** or **Joint "B"** accounts are eligible.
    - b. **Joint "A"** Account, **Minor**, person of **unsound mind** and **Illiterate** are **not allowed** for availing Internet Banking.

C. Cheque Book Facility

- (1) Account holders of **Joint-A** & **Joint-B** Type account are eligible.
- (2) Account holder **minor through self** cannot be issued Cheque Book facility.
- (3) Cheque Book facility cannot be issued to **illiterate** persons or for those who do not sign in **running hand**.

---

7. Service Charges & Transaction Limits

(Effective from 01.10.2021)

A. ATM Limits

- **Daily ATM cash withdrawal limit:** Rs. 25,000/-.
- **Cash withdrawal limit per transaction:** Rs. 10,000/-.

B. Free Transactions (Per Month)

- **Metro Cities: 3 free transactions** (Both Financial & Non-Financial).
- **Non-Metro Cities: 5 free transactions** (Both Financial & Non-Financial).

C. Charges for Transactions (Beyond Free Limits)

Transaction Type	Charge
Financial Transactions at other ATMs (Beyond 3/5 free limit)	Rs. 20/- + GST.
Non-Financial Transactions at other ATMs (Beyond 3/5 free limit)	Rs. 8/- + GST.
Financial Transactions at own ATMs (Beyond 5 free limit)	Rs. 10/- + GST.
Non-Financial Transactions at own ATMs (Beyond 5 free limit)	Rs. 5/- + GST.
AT POS Cash withdrawals for DoP Debit cards (On-Us transactions)	**1%** of transaction value (Max **Rs. 5/-** per transaction).

D. Other Card Charges

Service	Charge
Debit Card Replacement Charges	Rs. 300/- + GST.
Duplicate PIN / Regeneration of PIN through Branch	Rs. 50/- + GST.
ATM/POS transaction Technical declines attributable to customer (i.e. lack of balance)	Rs. 20/- + GST.
ATM/Debit Card Annual Maintenance Charges	Rs. 125/- + GST (Collected at end of cycle).
SMS Alert charges per annum	Rs. 12/- (inclusive of GST).

Chapter 2: National Saving Recurring Deposit Scheme, 2019

Authority: Notified vide G.S.R. 918(E) dated **12.12.2019** and further amended vide G.S.R. 285(E) dated **05.05.2020**.

3. Opening of Account

(1) On an application in **Form-1** to the Account office, an account may be opened by:

- (i) A **single adult**.
- (ii) Up to **three adults** jointly.
- (iii) A guardian on behalf of a **minor** or a person of **unsound mind**.
- (iv) A **minor** who has attained the age of **10 years**, in his own name.
- (v) An individual may have more than one account in his name or jointly with another.

---

4. Maturity Period

The maturity period of the account shall be **5 years** (60 monthly deposits).

---

5. Deposits

- (i) Total **60 monthly deposits** shall be made in an account.
- (ii) **Minimum Deposit: Rs. 100/-** or any sum in multiples of **Rs. 10/-**.
- (iii) **Subsequent Deposits:**
    - If the account is opened between the **1st and 15th day** of a calendar month, subsequent deposits shall be made up to the **15th day** of each month.
    - If the account is opened between the **16th day and the last working day** of a calendar month, subsequent deposits shall be made up to the **last working day** of each month.

6. Defaults in Deposits

- (i) If the number of defaults is **not more than four**, the account holder can extend the maturity period of the account by as many months as the number of defaults and deposit the defaulted instalments during the extended period.
- (ii) If the number of defaults is **more than four**, the account shall be treated as **Discontinued**.
- (iii) **Revival:** The revival of the account shall be permitted only within a period of **two months** from the month of the fourth default.
- (iv) **Default Fee: Rs. 1/-** per month for every **Rs. 100/-** of defaulted instalment.

---

7. Advance Deposits

(1) Deposits may be made in advance in an account for a period of up to **5 years**.

(2) **Rebate on Advance Deposits:**

Number of Advance Deposits	**Rebate (For Rs. 100/- Denomination)**
6 to 11 Deposits	**Rs. 10/-**
12 to 17 Deposits	**Rs. 40/-**
18 to 23 Deposits	**Rs. 50/-**
24 to 29 Deposits	**Rs. 80/-**
30 to 35 Deposits	**Rs. 90/-**
36 to 41 Deposits	**Rs. 120/-**
42 to 47 Deposits	**Rs. 130/-**
48 to 53 Deposits	**Rs. 160/-**
54 to 59 Deposits	**Rs. 170/-**
60 Deposits	**Rs. 200/-**

- (i) **No rebate** shall be given if the number of advance deposits is less than **6**.
- (ii) Advance deposits may be made for any period up to **5 years**.

8. Premature Closure

- (i) Premature closure can be initiated after completion of **3 years** from the date of opening.
- (ii) **Interest Payable:** Interest shall be calculated at the rate applicable to the **Post Office Savings Account (POSA)** from time to time.
- (iii) No premature closure of account shall be permissible until the period for which the advance deposits have been made has expired.

---

9. Accounts Continued Beyond Maturity Period

- (i) The account can be extended for a maximum period of **5 years** after its maturity.
- (ii) The extended account can be closed at **any time** during the extended period.
- (iii) **Interest:** The interest on the RD account may be paid up to a maximum period of **5 years** from the date of maturity of the account.

---

10. Repayment on the Death of the Account Holder

- (i) On the death of the account holder in a single account, or of all the account holders in a joint account, no further deposits shall be made. The repayment shall be made to the **nominee** or **legal heirs**.
- (ii) If there are up to **three surviving nominees** or legal heirs, they may continue the account and receive repayment of the amount inclusive of interest, as if the account had been opened by themselves.
- (iii) On the death of one or two account holders in a joint account, the **surviving account holder(s)** shall be treated as the sole owner(s) and may continue the account.
- (iv) If less than **60 monthly deposits** have been made, the surviving account holder(s) shall also have the option to close the account immediately and receive the amount.

11. Protected Savings Scheme (PSS)

Repayment of full maturity value on the death of account holder in certain cases.

The payment of **full maturity value** shall be restricted to the maturity value of an account of the denomination of **Rs. 100/-**, subject to the following conditions:

- (i) The account has not become a **discontinued account**.
- (ii) The period from the date of opening to the date of death is not less than **two years**.
- (iii) The age of the account holder at the time of opening was not less than **18 years** and not more than **55 years**.
- (iv) The first **24 monthly deposits** have been made without default.
- (v) A defaulted instalment paid with revival fee before the death shall not be treated as a default.
- (vi) **No loan** has been made from the account during the first **24 months**.
- (vii) If a loan was availed after 24 months, any outstanding amount and interest shall be recovered from the amount payable.
- (viii) The claim must be applied for not later than **one year** from the date of death.

---

12. Loan Facilities

- (i) **Application:** Application must be made in **Form-5**.
- (ii) **Eligibility:**
  - The account must have been in operation for at least **one year**.
  - **12 monthly deposits** must have been made.
- (iii) **Maximum Loan Amount:** Up to **50%** of the balance credit in the account.
- (iv) **Repayment:** The loan amount (multiple of **Rs. 10/-**) may be repaid in one lump sum or in equal monthly instalments.
- (v) **Interest on Loan:** Simple interest at the rate of **2% per annum** over and above the interest rate applicable to the Recurring Deposit account.

- (vi) If an account is retained beyond the maturity period without fresh deposits, monthly instalments of repayment of loan may still be paid during such retention period.

Chapter 3: National Saving Time Deposit Scheme, 2019

Authority: Notified vide G.S.R. 922(E) dated **12.12.2019** and further amended vide G.S.R. 289(E) dated **05.05.2020**.

3. Categories of Accounts

- (i) **One-year** account.
- (ii) **Two-year** account.
- (iii) **Three-year** account.
- (iv) **Five-year** account.

---

4. Type of Accounts

(1) On an application to the accounts office in **Form-1**, an account can be opened by the following:

- (i) A **single adult**.
- (ii) Up to a maximum of **three adults** in joint names.
- (iii) A **minor** who has attained the age of **ten years**.
- (iv) A guardian on behalf of a **minor** or a person of **unsound mind**.

(2) An individual may have more than one account in his name or jointly with another.

---

5. Deposit and Repayment

- (i) **Minimum Deposit: Rs. 1,000/-**.
- (ii) **Maximum Deposit: No limit**, any sum in multiples of **Rs. 100/-** in an account.

6. Extension of Account

(1) The period from the date of repayment by which the option for extension may be exercised is as follows:

Category of Account	Period from date of repayment by which option for extension may be exercised
One-year	Six months
Two-year	Twelve months
Three-year	Eighteen months
Five-year	Eighteen months

(2) Where the option of extension of deposit is exercised within the period allowed, interest applicable to the category of account under the Scheme on the date of repayment shall be payable.

Note: If the option of extension is not exercised by the account holder within the period specified above, **Post Maturity Interest (PMI)** shall be paid in such account from the date of maturity to the date of payment at the rate of Post Office Savings Account applicable from time to time.

(3) The account holder shall be allowed to extend the account only **twice** after the initial repayment date.

(4) The option to extend the account may be exercised by the account holder at the time of opening of the account also. However, the account holder may **revoke** the option to extend the account any time before the date of repayment.

7. Rate of Interest

- (i) Interest shall be compounded on a **quarterly basis** and payable to the account holder at the **end of each year** during the period of deposit.
- (ii) If the date of payment of interest falls on a **non-working day**, the payment shall be deemed to be due on the working day immediately preceding.

- (iii) **No additional interest** shall be payable on the amount of interest that has become due for payment but not withdrawn by the account holder.
- (iv) The annual interest may be credited to the **savings account** of the account holder at his option.
- (v) Deposits in **5-year Time Deposit** qualify for deduction under **Section 80-C** of the Income Tax Act.

---

8. Premature Closure of Account

(1) Application must be made in **SB-7B**.

(2) **No deposit** shall be withdrawn before the expiry of **six months** from the date of deposit.

Interest Payable on Premature Closure

Category	Premature Closure Period	Interest Payable
All Categories	Before 6 Months	Premature Closure not allowed.
All Categories	After 6 Months but before 1 Year	Rate of POSA Applicable.
2 Year TD	After 1 Year but before 2 Year	ROI of 1 Year TD minus 2%.
3 Year TD	After 1 Year but before 2 Year	ROI of 1 Year TD minus 2%.
3 Year TD	After 2 Year but before 3 Year	ROI of 2 Years TD minus 2%.
5 Year TD	After 1 Year but before 2 Year	ROI of 1 Year TD minus 2%.
5 Year TD	After 2 Year but before 3 Year	ROI of 2 Years TD minus 2%.
5 Year TD	After 3 Year but before 4 Year	ROI of 3 Years TD minus 2%.
5 Year TD	After 4 Year	ROI of 3 Years TD.

Special Provision for 5-Year TD (w.e.f. 10.11.2023)

📝 **LEGISLATIVE NOTE:** The following rules apply to 5-Year Time Deposit accounts opened on or after **10.11.2023** (vide SB Order 22/2023).

Period	Admissibility
Before 6 Months	**Premature Closure Not Allowed.**
After 6 Months but before 4 Years	**Premature Closure Not Allowed.**
After 4 Years	**Rate of POSA Applicable.**

Chapter 4: National Savings (Monthly Income Account) Scheme, 2019

Authority: Notified vide G.S.R. 917(E) dated **12.12.2019** and further amended vide G.S.R. 286(E) dated **05.05.2020**.

3. Opening of Account

(1) The account may be opened by making an application in **Form-1** by:

- (i) A **single adult**.
- (ii) Up to a maximum of **three adults** in joint names.
- (iii) A **minor** who has attained the age of **ten years**.
- (iv) A guardian on behalf of a **minor** or a person of **unsound mind**.

(2) An individual may open and operate one or more than one account as a single account or a joint account under this Scheme subject to the ceiling of maximum deposit limit.

(3) For the purpose of maximum deposits, the account holder's share in the balance of a joint account shall be taken as **one-half** or **one-third** of such balance as if the account is held by two adults or three adults.

---

4. Deposits and Withdrawals

- (i) **Minimum Deposit: Rs. 1,000/-** and in multiples of **Rs. 1,000/-**.
- (ii) **Maximum Deposit Limit:**

- For **Single Account: Rs. 9,00,000/-**.
- For **Joint Account: Rs. 15,00,000/-**.

📝 **LEGISLATIVE NOTE:** Limits enhanced to Rs. 9 Lakh (Single) and Rs. 15 Lakh (Joint) w.e.f. **01.04.2023**.

---

5. Interest on Deposit

- (i) Interest shall be payable to the account holder on completion of a **month** from the date of deposit.
- (ii) If the interest payable every month is not claimed by the account holder, such interest shall **not earn any additional interest**.
- (iii) Where a deposit in excess of the ceiling has been made, the accounts office shall **refund the excess deposit** to the account holder immediately.
- (iv) The excess amount shall carry an interest at the rate applicable from time to time to the **Post Office Savings Account** and shall be payable to such depositor on such amount.
- (v) If the date of payment of monthly interest falls on a **Sunday or a holiday**, the payment shall be deemed to be due on the business day immediately preceding that Sunday or holiday.
- (vi) If the deposit is made on the **29th, 30th, and 31st** of a month and if these dates do not come in the following month, the payment of monthly interest shall be made on the **last date** of the following month; if such last day is a holiday, monthly interest shall be paid on the **preceding day**.

---

6. Premature Closure of Account

The account holder may be permitted to withdraw the deposit and close the account at any time after the expiry of a period of **one year** from the date of opening of such account.

Premature Closure Period	Deduction
On or Before Expiry of 3 Years	**2%** of Deposit.

After Expiry of 3 Years	**1%** of Deposit.

7. Closure of Account

- (i) The account may be closed after completion of **five years** from the date of opening.
- (ii) In case the account holder dies before the maturity of the account, the account may be closed and the deposit shall be refunded as per provisions of the General Rules, along with interest up to the **month preceding the month** in which refund is made.

Chapter 5: Senior Citizen Savings Scheme, 2019

Authority: Notified vide G.S.R. 916(E) dated **12.12.2019** and further amended vide G.S.R. 287(E) dated **05.05.2020**.

3. Opening of Account

(1) **Category of Account & Minimum Age:**

Category of Account	**Minimum Age**
Normal	**60 years**
Retired person of civil services on Superannuation	**55 years** but less than **60 years**
Retired personnel of Defence Service	**50 years**

- (i) **Note:** Account is opened by a retired person within **three months** of the date of receipt of the retirement benefits or admissible financial assistance to an eligible government employee who died in harness and proof of date of disbursal of such retirement benefit(s) along with a certificate from the employer indicating the details of retirement on superannuation.
- (ii) An account holder may operate more than one account under this Scheme subject to the condition that the deposits in all the accounts taken together shall not exceed the maximum limit **Rs. 30 Lakh**.

- (iii) An individual may open an account in individual capacity, or jointly with **spouse**.
- (iv) In case of a joint account, the age of the **first account holder** shall be considered to determine the eligibility to open the account and there shall be no age-limit for the second applicant.
- (v) The spouse of the government employee shall be allowed to open an account under this Scheme **irrespective of age**, if the government employee who has attained the age of **fifty years** and has died in harness, subject to the fulfilment of other specified conditions.

Explanation: For the purposes of this proviso, the "Government Employee" includes all Central and State Government employees eligible for retirement benefit or death compensation.

---

4. Deposit

- (i) **Minimum Deposit: Rs. 1,000/-**.
- (ii) **Maximum Deposit: Rs. 30,00,000/-** (Any sum in multiples of **Rs. 1,000/-**).
- (iii) **Note:** Deposits in the account shall be restricted to the **retirement benefits** received on superannuation or death or **Rs. 30 Lakh**, whichever is lower.

📝 **LEGISLATIVE NOTE:** Maximum deposit limit enhanced from Rs. 15 Lakh to **Rs. 30 Lakh** w.e.f. **01.04.2023**.

---

5. Interest on Deposit

- (i) Interest shall be payable from the date of deposit to **31st March / 30th June / 30th September / 31st December** on the first working day of **April / July / October / January**, as the case may be, in the first instance and thereafter interest shall be payable on first working day of April / July / October / January as the case may be.
- (ii) If the interest payable every quarter is not claimed by an account holder, such interest shall **not earn additional interest**.

- (iii) The excess amount shall carry interest at the rate applicable from time to time to the **Post Office Savings Account** and such interest shall be payable from the date of deposit of excess amount to the date of refund.
- (iv) In case of an account extended after maturity, the deposit in such account shall earn interest at the rate applicable to the Scheme on the date of **extended maturity**.
- (v) Interest at the rate applicable to the **Post Office Savings Account** shall be payable on deposits in the account which are not extended or closed on maturity or extended maturity.

---

6. Premature Closure of Account

The account holder may withdraw the deposit and close the account at **any time**.

Premature Closure Period	Deduction
Before One Year from the date of opening	**Interest paid will be recovered.**
After Expiry of 1 Year but before expiry of **2 Years**	**1.5%** of Deposit.
After Expiry of 2 Years	**1%** of Deposit.
Before Expiry of one year from date of **extension**	**1%** of Deposit.

📝 **LEGISLATIVE NOTE:** Deduction for closure after 1 year but before 2 years is **1.5%** (Corrected from source typo "12%"). Deduction for extended accounts closed before 1 year was introduced vide **SB Order 22/2023** (w.e.f. **10.11.2023**).

---

7. Closure of Account

- (i) The deposit made at the time of opening of the account shall be paid on or after the expiry of **five years** or after the expiry of each block of **three years** where account was extended.
- (ii) In case of **death** of the account holder before maturity or extended maturity, the account shall be closed and deposit refunded on an application in **Form-3** along with interest as applicable to this Scheme till the date of the death of the account holder, to the nominee or the legal heirs, as the case may be:

- **Provided** that interest on the deposits in the account shall earn interest at the rate applicable on **Post Office Savings Account** from the date of death of the account holder till the date of final closure of the account.
- Where the sole nominee is the **spouse**, the spouse may continue the account by applying to the account office on the same terms and conditions as specified under this Scheme, if the spouse meets eligibility conditions under the Scheme on the date of death of the account holder.

- (iii) Where both the spouses have opened separate account or accounts under this Scheme and either of the spouses dies during the currency of such account or accounts, then such account or accounts standing in the name of the deceased account holder shall **not be continued** in accordance with the first proviso of subparagraph (2) and shall be closed.

---

8. Extension after Maturity

- (i) The account holder may extend the account for a further **block period of three years** within a period of **one year** from the date of maturity or from the date of end of each block period of three years.
- (ii) Extension of an account shall be available in block period of **three years**.
- (iii) The account holder may close the account any time **after one year** from the date of extension of account **without any deduction**.
- (iv) **Note:** The amendment in this scheme published in **SB Order 22/2023** will be applicable for all old as well as new accounts opened on or after **10.11.2023**.

Chapter 6: National Savings Certificate (VIII Issue) Scheme, 2019

Authority: Notified vide G.S.R. 919(E) dated **12.12.2019** and further amended vide G.S.R. 284(E) dated **05.05.2020**.

3. Type of Accounts

- (a) **Single Holder Type Account:** By an adult or guardian in the name of **minor** or **unsound person**.
- (b) **Joint A-Type Account:** By up to **three adults** payable to **all**.
- (c) **Joint B-Type Account:** By up to **three adults** payable to **any**.
- (d) A **minor** who has attained the age of **ten years**.

---

4. Deposits

- (1) **Minimum Deposit: Rs. 1,000/-** and any sum in multiples of **Rs. 100/-** may be deposited in an account.
- (2) **Maximum Deposit:** There shall be **no maximum limit** for deposit in an account or in accounts held by an account holder.
- (3) An individual may open **any number** of accounts.
- (4) Deposits in NSC qualify for deduction u/s **80-C** of Income Tax Act.

---

5. Payment on Maturity

(1) The deposit shall mature on completion of **five years** from the date of the deposit.

(2) Amount of maturity may be repaid to the account holder.

---

7. Premature Closure of Account

(1) The account shall **not be closed before maturity** except in the following cases, namely:

- (a) On the **death** of the account holder in a single account, or any or all the account holders in a joint account;

- (b) On **forfeiture** by a pledgee being a Gazetted Officer, when the pledge is in conformity with this Scheme;
- (c) When ordered by a **court**.

Premature Closure Values (When Allowed):

Premature Closure Period	Payable
Before the expiry of One Year from the date of opening	**Only Principal amount is payable.**
After the expiry of one year but before the expiry of three years	**ROI of POSA on Principal amount is payable.**
After Expiry of 3 Years	**ROI of NSC on Principal amount is payable.**

8. Transfer of Account

- (i) On the **death** of account holder in case of a single account or on the death of all the account holders in a joint account, the amount shall be transferred to the **legal heirs** or the **nominees** as the case may be.
- (ii) On the order of the **court**, the account shall be transferred from the account holder to the court or to any other individual as per the orders of the court.
- (iii) On **pledging**, account shall be transferred.
- (iv) In the event of the death of any of the account holders in a joint account, the account shall be transferred in the name of the **surviving account holder** or account holders, as the case may be.

Chapter 7: Kisan Vikas Patra Scheme, 2019

Authority: Notified vide G.S.R. 920(E) dated **12.12.2019** and further amended vide G.S.R. 283(E) dated **05.05.2020**.

3. Type of Accounts

(1) On an application to the accounts office in **Form-1**, the following types of accounts can be opened under the Scheme, namely:

- (a) **Single Holder Type Account**.
- (b) **Joint A-Type Account** by up to **three adults** payable to **all**.
- (c) **Joint B-Type Account** by up to **three adults** payable to **any**.
- (d) By a **minor** who has attained the age of **ten years**.
- (e) By a guardian on behalf of a **minor** or a person of **unsound mind**.

---

4. Deposits

- (1) **Minimum Deposit: Rs. 1,000/-** and any sum in multiples of **Rs. 100/-** may be deposited in an account.
- (2) **Maximum Deposit:** There shall be **no maximum limit** for deposit in an account or in accounts held by an account holder.
- (3) An individual may open **any number** of accounts.

---

5. Payment on Maturity

(1) Maturity period of an account opened on or after the **1st day of July, 2023** shall be **115 months**.

(2) Deposit made in the account shall **double** on maturity.

📝 **LEGISLATIVE NOTE:** The maturity period is **115 months** for accounts opened from **01.01.2024** onwards (Interest Rate 7.5%). This remains effective in **2025**.

---

6. Premature Closure of Account

(1) The account may be prematurely closed by the account holder by making an application in **Form-3** to the accounts office, at any time **before maturity** under the following circumstances, namely:

- (a) On the **death** of the account holder in a single account, or any or all the account holders in a joint account;
- (b) On **forfeiture** by a pledgee, being a Gazetted Officer;
- (c) When ordered by a **court**.

(2) On the closure of the account as per above conditions, principal amount along with simple interest calculated at the rate applicable from time to time to **Post Office Savings Account** for the complete months for which the account has been held, shall be payable.

(3) If an account is closed any time after the expiry of **two years and six months** from the date of opening of the account, the amount, inclusive of interest shall be payable.

---

8. Transfer of Account

An account may be transferred from one individual to another, subject to the condition that the transferee is eligible to open an account under this Scheme, in the following cases, namely:

- (i) On the **death** of the account holder in case of a single account or on the death of all the account holders in a joint account, the amount shall be transferred to the **legal heirs** or the **nominees**, as the case may be;
- (ii) On the order of the **court**, the account shall be transferred from the account holder to the court or to any other individual as per the orders of the court;
- (iii) On **pledging**, account shall be transferred;
- (iv) In the event of the **death** of any of the account holders in a joint account, the account shall be transferred in the name of the **surviving account holder** or account holders, as the case may be.

Chapter 8: Public Provident Fund Scheme, 2019

Authority: Notified vide G.S.R. 915(E) dated **12.12.2019**.

3. Limits of Number of Accounts

- (1) An individual may open **one account** by making an application in **Form-1**.
- (2) An individual may also open **one account** on behalf of each **minor** or a person of **unsound mind** of whom he is the guardian:
    - **Provided** that only **one account** shall be opened in the name of a minor or a person of unsound mind by any of the guardian.
- (3) **Joint account** shall **not** be opened under this Scheme.

---

4. Limits of Subscription

- **Minimum Deposit: Rs. 500/-** in a Financial Year.
- **Maximum Deposit: Rs. 1,50,000/-** in a Financial Year.

---

5. Manner of Making Deposit

(1) The account shall be opened with a minimum initial deposit of **Rs. 500/-** and thereafter deposit of any sum in multiples of **Rs. 50/-** shall be made.

---

6. Discontinuation of Account

- (1) Any account in which the account holder, having deposited **Rs. 500/-** in the initial year, fails to deposit the minimum amount in the following years, shall be treated as **discontinued**.
- (2) An account treated as discontinued may be **revived** during its maturity period on payment of a fee of **Rs. 50/-** along with arrears of minimum deposit of **Rs. 500/-** for each year of default:

- **Provided** that the balance in a discontinued account not revived by the account holder before its maturity shall continue to earn interest at the rate applicable to the Scheme from time to time.

- (3) The account holder of a discontinued account shall **not be eligible** to open a new account before closure of such discontinued account after maturity:
  - **Provided** that the facility of **loan** and **partial withdrawal** shall **not be allowed** in such an account and the account holder shall be prohibited from opening another account in his name under this Scheme till final closure of such account.
- (4) Facility of loan and partial withdrawal shall be allowed to **regular accounts only** as per the provisions of this scheme.
- (5) The total deposit in a year shall be inclusive of deposits made in respect of years of default of the preceding years but **excluding** the default fee.

---

7. Interest

- (1) Lowest balance at the credit of an account between the close of the **fifth day** and the **end of the month** shall be eligible for interest.
- (2) Interest shall be credited to the account at the **end of each year**.
- (3) Interest shall be credited at the end of the year irrespective of the change of the account office due to transfer of the account during the year.
- (4) Deposit qualifies for deduction under **Section 80-C** of I.T. Act.
- (5) Interest earned in the account is free from Income Tax under **Section 10** of I.T. Act.

---

8. Loans

- (1) At any time after the expiry of **one year** from the end of the year in which the initial subscription was made but before expiry of **five years** from the end of the year in which the initial subscription was made, the account holder may, apply in **Form-2** (formerly SB-7C), to the accounts office for obtaining a loan consisting of a sum of whole rupees not exceeding **25%** of the amount that stood to his credit at the end of the **second year** immediately preceding the year in which the loan is applied for.

- (2) It means Loan facility is available from **3rd financial year** up to **6th financial year**.
- (3) An account holder shall **not** be entitled to get a fresh loan so long as earlier loan has not been repaid in full together with interest thereon.
- (4) An account holder shall be entitled for only **one loan** in a financial year.

---

9. Repayment of Loan and Interest

- (1) The principal amount of a loan shall be repaid by the account holder before the expiry of **36 months** from the first day of the month following the month in which the loan is sanctioned:
  - **Provided** that the repayment may be made either in one lump sum or in instalments.
- (2) After the principal amount of the loan is fully repaid, the account holder shall pay interest thereon in not more than **two monthly instalments** at the rate of **1% per annum** of the principal for the period commencing from the first day of the month following the month in which the loan is drawn up to the last day of the month in which the last instalment of the loan is repaid:
  - **Provided** that where the loan is not repaid, or is repaid only in part, within a period of **36 months**, interest on the amount of loan outstanding shall be charged at **6% per annum** instead of at **1% per annum** with effect from the first day of the month following the month in which the loan was obtained, to the last day of the month in which the loan is finally repaid.
- (3) The interest on the amount of loan outstanding and any portion of interest payable, but not paid, on any loan, the principal amount of which has already been repaid within the period of **36 months**, may, on becoming due, be debited to the holder's account.
- (4) The interest recoverable shall accrue to the **Central Government**.

- (5) The interest on outstanding loans which are not paid before the expiry of **36 months** or paid partly shall be debited to the holder's account at the **end of each year**.
- (6) In case of death of the account holder, the nominee or legal heir shall be liable to pay interest on the loan availed by the account holder but not repaid before his death. Such amount of due interest shall be adjusted at the time of final closure of the account.

---

10. Withdrawal from Account

- (1) Any time after the expiry of **five years** from the end of the year in which the account was opened, the account holder may, avail withdrawal by applying in **Form-2** (formerly SB-7C), from the balance to his credit, an amount not exceeding **50%** of the amount that stood to his credit at the end of the **fourth year** immediately preceding the year of withdrawal or at the end of the **preceding year**, whichever is **lower**:
  - **Provided** that the amount of loan outstanding, if any, along with interest shall be paid by the account holder before availing the facility of withdrawal under this paragraph:
  - **Provided further** that the facility of withdrawal may be availed only **once in a financial year** only from the accounts which have not become discontinued.
- (2) It means withdrawal is permissible every year from **7th financial year**.

---

11. Closure of Account or Continuation

- (1) Any time after the expiry of **fifteen years** from the end of the year in which the account was opened, the account holder may apply in **Form-3** (formerly SB-7A) to the accounts office for the closure of his account. The accounts office shall allow the withdrawal of the entire balance along with due interest up to the last day of the month preceding the month in which the account is closed.

- (2) The account holder may retain his account after maturity **without making any further deposits** for any period and the balance in the account will continue to earn interest at the rate applicable to the Scheme:
    - **Provided** that the account holder may make **one withdrawal**, in each year, of any amount within the balance.
- (3) Once the account is continued without deposits for more than a **year**, the account holder shall not have the option again to continue the account with deposits.

---

12. Extension of Account with Deposits after Maturity

- (1) The account holder on the expiry of **fifteen years** from the end of the year in which the account was opened, may extend his account and continue to make deposit for a further block period of **five years** by applying to the accounts office in **Form-4** (formerly SB-EXT1).
- (2) The option of extension of account shall be made by the account holder before expiry of **one year** from the maturity of the account:
    - **Provided** that an account opened on behalf of a minor or a person of unsound mind may be extended at the request of the guardian.
- (3) **No deposits** can be made in the account, if the account holder fails to give his option to continue the account within **one year** from the date of maturity. Any deposit made in such account shall be treated as **irregular** and refunded by the account's office immediately **without any interest**:
    - **Provided** that the balance in the account on the date of maturity shall continue to earn interest up to the end of the month preceding the month of closure.
- (4) Facility of **partial withdrawal** shall be available to the account extended, subject to the condition that the total withdrawal during the block period of **five years** shall not exceed **60%** of the balance at credit at the **commencement** of the block period:
    - **Provided** that the withdrawal, subject to the ceiling as specified above may be made either in a **single** or in **yearly instalments**.

- (5) Provisions of sub-paragraphs (1) to (4) shall also apply on accounts after maturity on expiry of each extended block period of five years.
- (6) If the account is continued with deposits for one or more five block periods, the account holder may leave the account without deposits on completion of any block period and the account shall continue to earn interest till it is closed and the account holder may make **one withdrawal every year** from the account.
- (7) An account holder who has given his option for the extension of the account for a period of **five years** shall **not** have the option to withdraw his request at a later stage.

---

13. Premature Closure of Account

(1) An account holder shall be allowed premature closure of his account or the account of a minor or person of unsound mind of whom is the guardian on an application to the accounts office in **Form-3** (formerly SB-7B), on any of the following grounds, namely:

- (a) **Treatment of life-threatening disease** of the account holder, his spouse or dependent children or parents, on production of supporting documents and medical reports confirming such disease from treating medical authority;
- (b) **Higher education** of the account holder, or dependent children on production of documents and fee bills in confirmation of admission in a recognised institute of higher education in **India** or **abroad**;
- (c) On change in **residency status** of the account holder on production of copy of **Passport** and **visa** or **Income-tax return**:

Provisos:

- **Provided** that an account under this Scheme shall **not be closed** before the expiry of **five years** from the end of the year in which the account was opened.
- **Provided further** that on such premature closure, interest in the account shall be allowed at a rate which shall be **lower by one percent** (1%) than the rate at which interest has been credited in the account from time to time since the date of opening of the account, or from date of commencement of current block period of five years, as the case may be.

14. Closure of Account on Death

- (1) In the event of the **death** of the account holder, the account shall be closed and the nominee or the legal heir shall **not** be allowed to continue the account.
- (2) The balance in the account of the deceased account holder shall earn interest till the end of the **month preceding the month** in which the eligible balance is paid to the nominee or the legal heir, as the case may be.

---

15. Protection of Credit Balance from Attachment

Amount standing to the credit of any account holder shall **not** be liable to **attachment** under any order or decree of any **court** in respect of any debt or liability incurred by the account holder.

Chapter 9: Sukanya Samridhhi Account Scheme, 2019

Authority: Notified vide G.S.R. 914(E) dated **12.12.2019** and further amended vide G.S.R. 288(E) dated **05.05.2020**.

3. Opening of Account

- (1) The account may be opened by one of the guardians in the name of a girl child, who has not attained the age of **ten years** as on the date of opening of the account.
- (2) Every account holder shall have a **single account** under this Scheme.
- (3) The application in **Form-1** for opening an account shall be accompanied by **birth certificate** of the girl child in whose name the account is to be opened, along with required documents of guardian.
- (4) An account under this Scheme may be opened for a maximum of **two girl children** in one family:
    - **Provided** that more than two accounts may be opened in a family if such children are born in the **first** or in the **second order of birth** or in both, on submission of an affidavit by the guardian supported with birth certificates of the **twins/triplets** regarding the birth of such multiple girl children in the first two orders of birth in a family:

- **Provided further** that the above proviso shall **not apply** to girl child of the second order of birth, if the first order of birth in the family results in **two or more** surviving girl children.

---

4. Deposits

- (1) The account may be opened with a minimum initial deposit of **Rs. 250/-** and in multiples of **Rs. 50/-** thereafter and subsequent deposits shall be in multiples of **Rs. 50/-** subject to the condition that a minimum of **Rs. 250/-** shall be made as deposit in a financial year in one account.
- (2) The total amount deposited in an account shall **not exceed Rs. 1,50,000/-** in a financial year:
  - **Provided** that the deposit in excess of **one lakh fifty thousand rupees** in any financial year, if accepted due to any accounting error, shall **not be eligible for any interest** and be returned immediately to the depositor.
- (3) Deposits may be made in the account till the completion of a period of **fifteen years** from the date of opening of the account.
- (4) An account in which minimum amount **Rs. 250/-** has not been deposited shall be considered as an **account under default**:
  - **Provided** that an account under default may be regularised any time till completion of a period of **fifteen years** from the date of opening of account on payment of a penalty of **Rs. 50/-** for each year of default along with the minimum annual deposit in respect of the defaulted years.

---

5. Interest on Deposit

- (i) The interest shall be calculated for the **calendar month** on the lowest balance in the account between the close of the **fifth day** and the **end of the month**.
- (ii) The interest shall be credited to the account at the **end of each financial year**.
- (iii) Interest will be Credited in **whole rupees** after rounded off to the nearest rupees.

- **[Rs. 1/- (If Interest ≥ Rs. 0.50)]**
- **[Rs. 0/- (If Interest < Rs. 0.50)]**

- (iv) Interest shall be credited at the end of the financial year irrespective of the change of the account office due to transfer of the account during the financial year.

6. Operation of Account

- (i) The account shall be operated by the **guardian** till the account holder attains the age of **eighteen years**.
- (ii) The account shall be operated by the **account holder herself** after attaining age of **eighteen years** by submitting necessary documents.

7. Premature Closure of Account

- (1) In the event of **death** of the account holder, the account shall be closed immediately on application in **Form-3** (formerly SB-7B), on production of death certificate issued by the competent authority and the balance at the credit of the account and interest due thereon till the date of death shall be paid to the guardian.
- (2) Interest for the period between the date of death of the account holder and date of closure of the account shall be paid at the rate applicable on **Post Office Savings Account** for the balance held in the account.
- (3) Where the accounts office is satisfied that in case of **extreme compassionate grounds** such as **medical support in life-threatening diseases** of the account holder or **death of the guardian** that the operation or continuation of the account is causing undue hardship to the account holder, it may, after complete documentation establishing the grounds for such closure, by order and for reasons to be recorded in writing, allow premature closure of the account. Outstanding balance in the account with interest due as applicable to the Scheme shall be paid to the account holder or guardian, as the case may be:

- **Provided** that no premature closure of an account under this sub-paragraph shall be made before completion of **five years** from the date of opening of the account.

---

8. Withdrawal

- (1) On an application in **Form-3** (formerly SB-7), withdrawal of up to a maximum of **50%** of the amount in the account at the end of the financial year preceding the year of application for withdrawal, shall be allowed for the purpose of **education** of the account holder:
    - **Provided** that such withdrawal shall be allowed after the account holder attains the age of **eighteen years** or has passed **tenth standard**, whichever is earlier.
- (2) The application for withdrawal shall be accompanied by documentary proof in the form of a confirmed offer of admission of the account holder in an educational institution or a fee-slip from such institution indicating such financial requirement.
- (3) The withdrawal may be made in **one lump sum** or in **instalments**, not exceeding **one per financial year**, for a maximum of **5 years**, subject to the ceiling **50%** of the amount in the account at the end of the financial year preceding the year of application for withdrawal.
    - **Provided** that the amount of withdrawal shall be restricted to the **actual requirement** on account of fee and other charges required at the time of admission as shown in the offer of admission or the relevant fee-slip issued by the educational institution.

---

9. Closure on Maturity

- (1) The account shall mature on completion of a period of **21 years** from the date of its opening.
- (2) The closure of the account may also be permitted before completion of **21 years** if the account holder on an application makes a request for such closure for the reason of **intended marriage** of the account holder on furnishing of a declaration duly signed on non-judicial stamp paper attested by the notary supported with

proof of age confirming that the applicant will not be less than **eighteen years** of age on the date of marriage.

- **Provided** that no such closure shall be allowed before **one month** from the date of the intended marriage or after **three months** from the date of marriage.

- (3) On an application in **Form-4** (formerly SB-7A) by the account holder, the balance outstanding along with interest as applicable shall be payable to the account holder.

Income Tax Benefit for SSA

- (1) Sukanya Samriddhi Account has been specified under clause (viii) of Sub Section (2) of **Section 80-C** of Income Tax Act 1961 and deposits under these accounts enjoy benefit of this Income Tax Section up to the overall maximum limit of **Rs. 1,50,000/-**.
- (2) By **Finance Act 2015**, a new clause (11A) has been inserted under **Section 10** of Income Tax Act 1961 under which any amount withdrawn from Sukanya Samriddhi Account will **not be included** in the total income of a previous year of a person for the purpose of calculation of Income Tax.
- (3) By **Finance Act 2015**, a new clause (ba) has been inserted under clause (viii) of subsection 4 of **Section 80-C** of Income Tax Act 1961 under which a **Legal Guardian** can claim Income Tax benefit for the amount deposited by him or his/her girl child under the Sukanya Samriddhi Account.

Chapter 10: PM CARES for Children Scheme, 2021

Authority: Introduced on **06.10.2021**. The Ministry of Women and Child Development is the "concerned authority" for coordination and overall management.

1. Definitions

- **"Date of Event":** The date between the period **11.03.2020** to **28.02.2022** during which the children who had not attained the age of eighteen years, lost both parents or last surviving parent or both adopted parents or sole legal guardian to COVID-19 pandemic.

- "**Joint Account Holder":** The concerned **District Magistrate**, who shall act as the guardian for the purpose of operation of the account under the Scheme.

2. Opening of Account

- (a) An account may be opened in the name of a beneficiary with the concerned **District Magistrate** as joint account holder for an eligible beneficiary who has not attained the age of **18 years** on the date of event and has also not turned **18 years** on the date of opening of account, in accordance with the scheme guidelines.
- (b) **Provided** that a single account may be opened for a beneficiary otherwise eligible under the scheme guidelines who has turned **18 years or more** on the date of opening of the account.

---

3. Deposits

(a) The upfront lumpsum contribution shall be made **only** from the **PM CARES Fund**, within **one month** of opening of the account.

Upfront Lumpsum Contribution Table

Age of beneficiary at opening	Maturity (No. of Years)	Upfront Contribution (Rs.)
1 Year	17	2,87,870
2 Years	16	3,09,750
3 Years	15	3,33,290
4 Years	14	3,58,620
5 Years	13	3,85,870
6 Years	12	4,15,200
7 Years	11	4,46,750
8 Years	10	4,80,710
9 Years	9	5,17,240

10 Years	8	5,56,550
11 Years	7	5,98,850
12 Years	6	6,44,360
13 Years	5	6,93,330
14 Years	4	7,46,030
15 Years	3	8,02,720
16 Years	2	8,63,730
17 Years	1	9,29,370
18 Years and above	0	10,00,000

- **Computation:** Age of eligible beneficiary shall be the number of **completed years** on the upcoming date of birth.
    - *Example:* A 4-month-old beneficiary receives the amount specified for a 1-year-old. A 12 years 9 months old beneficiary receives the amount for a 13-year-old. Any number of months/days is rounded off to the **next complete year**.
- **Target Corpus:** Age-based upfront lumpsum contribution shall be deposited such that the corpus becomes **Rs. 10 Lakhs** when the account holder attains the age of **18 years**.

---

4. Interest on Deposit

- (a) The upfront lumpsum contribution becomes **Rs. 10 Lakhs** when the account holder attains the age of **18 years**.
- (b) Upon attaining **18 years**, the account shall operate as a **monthly interest scheme** (single account).
- (c) **Rate of Interest:** Applicable rate of **National Savings (Monthly Income Account) Scheme** (MIS).
- (d) Interest is payable on completion of a month from the date of credit of upfront lumpsum contribution (after 18 years).

- (e) If monthly interest is not claimed, it shall **not** earn additional interest.
- (f) **No interest** shall be paid once the account holder attains the age of **23 years**.

---

5. Operation of Account

- (a) **Below 18 Years:** Joint account with the **District Magistrate**.
- (b) **18 Years or Above:** Operated by the **account holder** as a single account after submitting KYC documents.

---

6. Premature Closure

- (a) **Death of Minor:** The account shall be closed on an application in **Form-2** and the lump sum upfront contribution shall be paid to the joint account holder for further transmission to the **PM CARES Fund**.
- (b) **Premature Withdrawal:** Shall **not** be allowed.

---

7. Closure on Maturity

- (a) When the account holder attains the age of **23 years**, the eligible balance (Corpus of **Rs. 10 Lakhs**) shall be disbursed to the account holder.
- (b) The account shall be closed on an application in **Form-2**.

---

8. Process Guidelines (Designated PO & Nodal Office)

- **Two Accounts:**
  1. **Basic Savings Account:** Zero balance, in the name of Beneficiary (Guardian: DM if minor).
  2. **PM CARES Scheme Account:** Joint Account (Beneficiary + DM) if minor; Single if major.
- **Flow of Funds:** Beneficiary funds credited to Basic Savings Account Debited to open PM CARES Account.

- **Monthly Interest/Maturity:** Credited back to the linked **Basic Savings Account**.
- **Nodal Office: Chennai GPO** is identified as the nodal office for crediting NACH credits and centrally opening PM CARES accounts.
- **Scheme Codes:**
  - **PCFTD:** Joint account (Minor + DM).
  - **PCMIS:** Single account (18 years and above).

Chapter 11: Mahila Samman Savings Certificate, 2023

Authority: Notified vide G.S.R. 237(E) dated **27.03.2023**.

1. Types of Account

- (i) Account can be opened for an individual **girl or woman**.
- (ii) **Single Holder Type Account** may be opened on or before **31.03.2025** by:
  - A woman for herself.
  - A guardian on behalf of a **minor girl**.

2. Deposits

- (i) **Minimum Deposit: Rs. 1,000/-** (and in multiples of **Rs. 100/-**).
- (ii) **Subsequent Deposits:** No subsequent deposit shall be allowed in the account (One-time deposit).
- (iii) **Maximum Deposit: Rs. 2,00,000/-** (Two Lakh).
- (iv) **Multiple Accounts:** An individual may open any number of accounts subject to:
  - Maximum limit of **Rs. 2 Lakh** across all accounts.
  - A time gap of **three months** between the existing account and the opening of another account.

Example: Account opened on **01.12.2023** with **Rs. 50,000/-**. Another account can be opened on or after **01.03.2024** with balance up to **Rs. 1,50,000/-**.

3. Interest

- (i) **Rate: 7.5% per annum**.
- (ii) Interest shall be compounded on a **quarterly basis** and credited to the account.
- (iii) **Contravention:** If opened in contravention, only **Post Office Savings Account (POSA)** interest shall be payable.

4. Withdrawal

- The account holder is eligible to withdraw up to **40%** of the eligible balance **once** after the expiry of **one year** from the date of opening but before maturity.

5. Payment on Maturity

The account shall mature on completion of **two years** from the date of opening.

6. Premature Closure

Account shall **not** be closed before maturity except in the following cases:

- (a) **Death** of the account holder.
- (b) **Extreme Compassionate Grounds:** Life-threatening disease of account holder or death of guardian (where operation causes undue hardship). Requires order and documentation.
- (c) **Penalty Closure:** Permitted any time after completion of **six months** from date of opening for any other reason.
    - **Interest Payable:** Interest rate will be **reduced by 2%** (i.e., **5.5%**).

7. Tax & Agency Rules

- (i) **Agency:** This scheme is **not** covered under MPKBY/SAS agency.
- (ii) **Tax Benefit:** Investment does **not** qualify for rebate under **Section 80-C**. Interest earned is **taxable**.

Applicability of TDS (Mahila Samman Saving Certificate)

Payee Category	Threshold Limit for TDS
Senior Citizen (60 years or more)	**Rs. 50,000/-**
Others	**Rs. 40,000/-**

Important Key Points & Revision Notes

Common Important Updates (Quick Look)

- **Income Tax Section 80C:** Applicable to **PPF**, **SCSS** (only investment), **NSC**, **SSA**, and **5-Year TD**.
- **TDS Applicability:** Specifically noted for **Mahila Samman Savings Certificate (MSSC)** if interest exceeds **Rs. 40,000** (Rs. 50,000 for Senior Citizens).
- **ATM/Debit Card Charges (w.e.f 01.10.2021):**
  - Replacement Card: **Rs. 300 + GST**.
  - Duplicate PIN: **Rs. 50 + GST**.
  - Technical Decline (Low Balance): **Rs. 20 + GST**.

Chapter-Wise Revision Notes

1. Post Office Savings Account (POSA)

- **Minimum Balance: Rs. 500**.
- **Maintenance Fee: Rs. 50** deducted if min balance not maintained at end of FY.
- **Interest: 4% p.a.** calculated on lowest balance between **10th and end of month**.
- **Tax Exemption:** Interest up to **Rs. 10,000** (Sec 80TTA) or **Rs. 50,000** (Senior Citizens, Sec 80TTB) is tax-free.
- **Silent Account:** No transaction for **3 financial years**.
- **Withdrawal Min: Rs. 50**.

2. Recurring Deposit (RD)

- **Maturity: 5 Years** (60 monthly deposits).
- **Loan:** Available after **1 year** and **12 deposits**. Max **50%** of balance.
- **Premature Closure (PMC):** Allowed after **3 years**. Earns **POSA interest** rate.
- **Revival:** Account discontinued after **4 defaults**. Can be revived within **2 months** of 4th default.
- **Advance Deposit Rebate:**
  - 6-11 deposits: **Rs. 10** per Rs. 100 denomination.
  - 12+ deposits: **Rs. 40** per Rs. 100.
- **Protected Savings Scheme:** Full maturity paid on death if account active for **2 years** (24 months) and age 18-55.

3. Time Deposit (TD)

- **Key Amendment (SB Order 22/2023 w.e.f 10.11.2023):**
  - **PMC after 1 year:** Interest calculated at **TD rate of completed years minus 2%** (previously just minus 1% or varied rules).
  - **PMC < 1 year:** POSA rate applies.
  - **PMC < 6 months:** Not allowed.
- **Extension:**
  - 1-Year TD: Within 6 months.
  - 2-Year TD: Within 12 months.
  - 3/5-Year TD: Within 18 months.

4. Monthly Income Scheme (MIS)

- **Limit Enhanced (w.e.f 01.04.2023):**
  - Single Account: **Rs. 9 Lakh**.
  - Joint Account: **Rs. 15 Lakh**.
- **Premature Closure Penalty:**
  - 1-3 Years: **2%** deduction.
  - 3 Years: **1%** deduction.

5. Senior Citizen Savings Scheme (SCSS)

- **Limit Enhanced:** Maximum deposit **Rs. 30 Lakh** (w.e.f 01.04.2023).
- **Eligibility - Retired Employees:**
  - Civilian: Age 55-60.
  - Defence: Age 50+.
  - **Condition:** Must invest retirement benefits within **3 months**.
- **Premature Closure:**
  - < 1 Year: No interest (recovered if paid).
  - 1-2 Years: **1.5%** deduction (Note: Source text has a typo saying "12%", standard rule is 1.5%).
  - 2 Years: **1%** deduction.
- **Extension:** 3-year block allowed once. Interest applicable is rate on **date of extension**.

6. National Savings Certificate (VIII Issue)

- **Maturity: 5 Years**.
- **Premature Closure:** Strictly restricted (Death, Forfeiture, Court Order).
- **PMC Payout:**
  - < 1 Year: Only Principal.
  - 1-3 Years: Principal + POSA Interest.
  - 3 Years: NSC Interest.

7. Kisan Vikas Patra (KVP)

- **Maturity Period: 115 Months** (for accounts opened on/after 01.07.2023).
- **Benefit:** Money **doubles** on maturity.
- **Lock-in Period:** PMC allowed only after **2 years and 6 months**.

8. Public Provident Fund (PPF)

- **Limits:** Min **Rs. 500**, Max **Rs. 1,50,000** per FY.
- **Loan:** Available from **3rd to 6th FY**. Interest **1% p.a.** if repaid in 36 months; **6% p.a.** if delayed.
- **Withdrawal:** One per year from **7th FY** onwards. Max **50%** of balance.
- **Extension:** In blocks of **5 years**. Partial withdrawal in extension: Max **60%** of balance at start of block.

9. Sukanya Samridhhi Account (SSA)

- **Eligibility:** Girl child < **10 years**. Max 2 girls (exception for twins/triplets).
- **Deposit:** Min **Rs. 250**, Max **Rs. 1,50,000**.

- **Interest Calc:** Lowest balance between **5th and end of month**.
- **Withdrawal: 50%** for education after age **18** or passing **10th standard**.
- **Closure:** 21 years tenure. Marriage closure allowed after age 18 (1 month before or 3 months after marriage).

10. PM CARES for Children Scheme (2021)

- **Eligibility:** Children orphaned due to **COVID-19** (11.03.2020 - 28.02.2022).
- **Structure:**
    - Joint account with **District Magistrate** until age 18.
    - Corpus of **Rs. 10 Lakh** created via PM CARES fund.
- **Payout:**
    - **18-23 Years:** Monthly interest payout.
    - **At 23 Years:** Full corpus (Rs. 10 Lakh) paid.

11. Mahila Samman Savings Certificate (MSSC, 2023)

- **Availability:** Until **31.03.2025**.
- **Deposit:** Max **Rs. 2 Lakh**. Min **Rs. 1000**.
- **Gap Rule:** 3-month gap required between opening accounts.
- **Interest: 7.5% p.a.** compounded quarterly.
- **Withdrawal: 40%** of balance allowed after **1 year**.
- **Premature Closure:** Voluntary closure after **6 months** allowed with **2% penalty** (interest paid at 5.5%).